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6897/01

October/November 2025

1 hour 30 minutes

Candidates answer on the Question Paper.
Additional material: Calculator

READ THESE INSTRUCTIONS FIRST

Write your name, centre number and candidate number in the spaces provided.
Write in dark **blue** or **black** pen.
Do **not** use staples, paper clips, highlighters, glue or correction fluid

Answer **all** questions.

The businesses described in this question paper are entirely fictitious.

The number of marks is given in brackets [] at the end of each question or part question.

For Examiner's Use	
1	
2	
3	
4	
Total	

This document consists of **9** printed pages and **3** blank pages.

- 1** Eswatini has seen an increase in trade union activity. The number of workers joining trade unions is now higher among public corporations than in the private sector businesses. Trade union leaders have observed that lack of trade union presence in the construction industry has allowed firms to form large-scale joint ventures which ignore workers' grievances. The Ministry of Labour has advised workers to avoid union activity in the secondary sector as it contributes greatly to the economy. Trade unionists think that the advice is wrong as trade union activity benefits both workers and employers.

(a) Define a 'trade union'.

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..... [2]

(b) Identify **two** examples of public corporations in Eswatini.

Example 1:

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Example 2:

..... [2]

(c) Explain **two** disadvantages that the construction firms could have by operating a joint venture.

Disadvantage 1:

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Explanation:

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Disadvantage 2:

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Explanation:

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..... [4]

- (d) Explain **two** contributions of the secondary sector to the economy of Eswatini.

Contribution 1:

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Explanation:

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Contribution 2:

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Explanation:

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..... [6]

- (e) Do you think that trade union activity benefits both workers and employers? Justify your answer.

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- 2** Spotex is a new sports shop in Manzini that operates as a close corporation. The owners of Spotex gained knowledge about such a business opportunity through conducting secondary research. Spotex aims to motivate its sales staff to increase its market share in the industry. Market competition is strong and Spotex has put some of its workers on retrenchment. The workers have protested that this practice is unfair. The owners of Spotex think the business would perform better if they purchased a franchise from a well-established sportswear retailer.

(a) Define 'close corporation'.

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..... [2]

(b) State **one** advantage and **one** disadvantage of secondary research.

Advantage:

.....

Disadvantage:

..... [2]

(c) Explain **two** ways in which Spotex can motivate its sales staff.

Way 1:

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Explanation:

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Way 2:

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Explanation:

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..... [4]

- (d) Explain **two** reasons why Spotex would have retrenched some of its workers.

Reason 1:

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Explanation:

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Reason 2:

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Explanation:

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..... [6]

- (e) Do you think Spotex would perform better if it operated as a franchise of a well-established sportswear retailer? Justify your answer.

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- 3** Starfield is a trucking company based in Matsapha. The business began operating two years ago. It has a high gearing ratio. Starfield has won many contracts to supply intermediaries in producers' distribution channels across the Southern Africa Development Community (SADC). Starfield's directors think that doing business is easier in countries with which Eswatini has trade agreements. Starfield is often affected by changes in fuel costs. The business calculates the price elasticity of demand before changing its prices. The Chief Executive Officer of the company thinks that Starfield should improve efficiency by retraining its drivers in customer care and not by monitoring their trips with technology.

(a) Define 'gearing ratio'.

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 [2]

(b) State **two** examples of intermediaries in a typical distribution channel.

Intermediary 1:

 Intermediary 2:
 [2]

(c) Explain **two** benefits to Eswatini of having trade agreements with its neighbouring states.

Benefit 1:

 Explanation:

 Benefit 2:

 Explanation:

 [4]

- (d) Explain **two** reasons why price elasticity of demand is important to Starfield.

Reason 1:

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Explanation:

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Reason 2:

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Explanation:

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..... [6]

- (e) Do you think that it is better for Starfield to train its drivers on customer care than to monitor their trips with technology? Justify your answer.

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- 4 Suntex is a South African textile firm that has relocated to Eswatini. The firm was attracted to Eswatini by the country's stable monetary policy and access to international markets. Suntex is also satisfied with the role played by the Government in protecting workers' rights. Recent financial data has shown that Suntex's financial performance is improving. The firm is planning to expand to achieve economies of scale. Suntex wants to finance the expansion through a long-term loan of E60 million. The Central Bank has recently increased interest rates.

(a) Define 'monetary policy'.

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 [2]

(b) State **two** ways in which the Government protects workers' rights.

Way 1:

 Way 2:
 [2]

(c) Table 1 shows an extract of Suntex's financial data for the year ended 2024.

Table 1: Extract of Suntex's financial data

Financial items	Emalangeneni (millions)
Current assets	140
Profit	50
Current liabilities	80
Inventory (stock)	40
Total assets	200

Calculate:

Acid-test ratio:

 Return on capital employed:

 [4]

- (d) Explain **two** ways in which Suntex could achieve economies of scale in its operations.

Way 1:

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Explanation:

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Way 2:

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Explanation:

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- (e) Do you think Suntex should continue financing its expansion through long-term loans? Justify your answer.

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